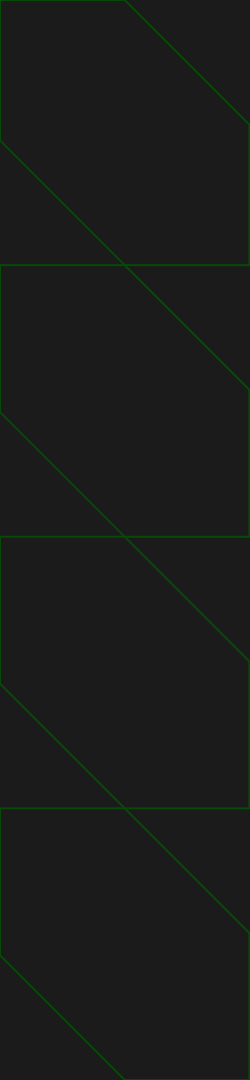




Spotify Expedition Pitch Presentation

By: Minh Tran & Thi Trieu



Presentation overview

- Problem Diagnosis - 01
- Segmentation - 02
- Proposed Solution - 03
- Business Impact - 04
- Measurement Plan - 05
- Risks & Trade-Offs - 06



Spotify Overview

- **Global audio streaming platform** serving **761M Monthly Active Users (MAUs)** across 184 markets, including **293M Premium subscribers** and **468M Free users**.
- Spotify's competitive advantage is **AI-driven personalization**, not music catalog, powered by features like **Discover Weekly, Daylist, AI DJ, Wrapped, and the Large Taste Model**.
- Personalization drives high engagement, with users streaming **30+ hours per month** and **44% of MAUs listening daily**.
- Spotify operates a **freemium model**, where Premium users generate significantly higher value (**~34.8% gross margin vs. ~13% for Ad-Supported users**).
- The key growth opportunity is converting highly engaged Free users by making **Premium control and personalization feel indispensable**.

The North Star (Goal)



- Spotify aims to reach **1B Monthly Active Users (MAUs)** by 2030, with **Free users still representing more than half** of the platform.
- Achieve **mid-teens annual revenue growth** through continued user expansion and Premium conversion.
- Increase **gross margin to 35–40%** by improving monetization efficiency and higher-value subscriber growth.
- Reach **20%+ operating margin** through sustainable long-term profitability.
- The 1B user goal requires a strong Free tier - the opportunity is **smarter conversion through increased Premium value, not reducing Free access**.

The Freemium Paradox: Spotify's free tier is the moat - and the conversion problem

The Ad-tolerance gap

62% of Spotify's 761M MAUs (468M users) stay on Free. Discover Weekly, Daylist, and Daily Mixes already deliver elite personalization at no cost, so most users tolerate ads rather than pay.

The margin disparity

Premium earns ~34.8% gross margin vs. ~13% for ad-supported - a 2.7x gap. Every engaged user who stays on Free is a direct drag on profitability, not just missed revenue.

The 2030 constraint

Spotify's goal is 1B MAUs by 2030, with Free still making up more than half the base. We can't shrink Free to force conversion - the only lever left is making Premium feel indispensable.

Two Free cohorts are ready to convert

for different reasons

Cohort 1: Gen Z & Millennials

Half of Spotify's listener base, averaging 2.2 hrs/day, identity- and social-driven:

- Wrapped shares + Blend playlists drive deep social loops
- Use Spotify as identity currency, not just a utility
- Premium-only AI features (DJ, SongDNA) become status signals worth showing off

Cohort 2: Habitual daily listeners

Part of the 44% who stream daily, 114-148 min/day, routine-tied:

- Commute, study, workout, and travel routines drive usage
- Multi-device: car, desktop, and smart speakers
- High ad tolerance today - until the routine gets interrupted

Why these two?

Same margin math, two different conversion triggers:

- Premium margin is ~2.7x ad-supported (34.8% vs 13%)
- Cohort 1 converts via social/status hooks (Wrapped, AI DJ, Blend)
- Cohort 2 converts via friction signals (offline attempts, skip/search, device handoffs)

Business Evidence. Form 6-k & Form 20-F

Spotify Growth

- "New Premium Subscribers are primarily sourced from the conversion of our Ad-Supported Users." – *Spotify 2025 Form 20-F*.
- "Historically, Premium Subscriber growth benefits when we run such trial programs." – *Spotify Q2 2026 Form 6-K*
- "Control & convenience: ad-free, offline, any-order play, lossless audio, AI DJ" – *VCC 2026_Case Packet 08*
- "Uninterrupted, with full queue control across car, phone, desktop & smart speakers" – *VCC 2026_Case Packet 08*
- "AI DJ 94M... AI DJ in 50+ languages; Daylist refreshes all day" – *VCC 2026_Case Packet 06 & 21*

AI Smart-Mix

Main Concept

- **AI Smart-Mix** uses generative AI to **transform existing playlists** based on a user's mood, activity, or listening intent.
- **Free users** receive **one AI Smart-Mix Token each week** to remix one playlist using preset moods such as **Chill, Workout, Focus, Road Trip, or Party**.
- AI analyzes playlist structure, listening history, and user preferences to reorder songs, adjust energy flow, and create smoother transitions.
- At the end of the Smart-Mix, Free users receive a personalized Premium recommendation: continue with one weekly token or upgrade for unlimited AI Smart-Mix and full playlist control.

The Premium Experience

- **Free users** receive a limited Smart-Mix experience with one weekly token, fixed playlist length, and ad-supported playback. They can preview the enhanced mix but cannot save, edit, or play the playlist in the exact customized order.
- **Premium users** unlock unlimited Smart-Mix generations, expanded preset libraries, AI chat refinement, and full playlist control through saving, editing, regenerating, and customizing mixes.
- The upgrade leverages Spotify's existing Free/Premium distinction: **AI Smart-Mix makes the value of playback control more visible without introducing new restrictions.**
- The feature encourages upgrades by turning a user's own playlist creation into a personalized Premium conversion moment.

Target Audience & Validation

- **Targets Gen Z and Millennial playlist creators**, encouraging upgrades when users are most invested in playlists they create.
- **Validated demand:** Spotify's AI DJ has reached **94M users**, and AI Playlist is available in **40+ markets**. AI Smart-Mix extends these features by focusing on **playlist transformation and customization** rather than only AI-generated playlists.

High-Level Implementation Estimate

Category	Estimated Cost (USD)	Notes
AI/ML Engineering (4–6 engineers, 6 months)	\$800k–\$1.5M	Model development, personalization algorithms, backend integration
Product & UX Design	\$100k–\$250k	User research, Premium Preview UI, A/B test design
Data Science & Analytics	\$150k–\$400k	Experiment design, dashboards, KPI tracking
Cloud Compute & AI Infrastructure	\$300k–\$1M	Model training, inference, storage, GPU resources
QA & Testing	\$100k–\$250k	Testing across Android, iOS, Web, Desktop
Marketing & Launch Campaign	\$500k–\$2M	In-app messaging, email, social campaigns
Legal & Privacy Review	\$50k–\$200k	GDPR, CCPA, AI transparency, policy updates
Contingency (10–15%)	\$250k–\$750k	Unexpected development costs

Business Impact: an explicit assumption chain, not a single number

The bet

Free stays untouched. We convert the highest-value Free users at the exact moment their need for control peaks.

Addressable cohort: ~120M engaged Free users across both cohorts - Gen Z/Millennial identity-driven listeners and habitual heavy-rotation daily listeners (overlapping, not additive) - not all 468M Free users.

What it actually costs

The real trade-off isn't the Premium price, it's foregone ad revenue and AI/eng cost on converted users.

- Foregone ad revenue on converted users (~13% margin base)
- AI model serving + experimentation infrastructure
- Engineering + phased rollout (pilot → ramp → global)

Revenue impact (12 months, by scenario)

12-month sensitivity on ~120M addressable users across both cohorts, ~2% baseline conversion:

- Low: +1.5pt lift → ~1.4M converts → ~\$160M incremental revenue
- Base: +2.5pt lift → ~2.9M converts → ~\$330M incremental revenue
- High: +3.5pt lift → ~4.9M converts → ~\$560M incremental revenue

Guardrails to hold

Guardrails before calling this a win: Free MAU & engagement flat, churn net-neutral (a hypothesis to validate via A/B, not assumed), ad revenue floor held, low opt-out/complaint rate.

Framing discipline

Framing discipline: gross margin % ≠ profit – net impact = incremental Premium margin (34.8%) minus foregone ad margin (13%) on converted users. Blended ARPU assumes an Individual/Student mix, not a flat \$12.99.

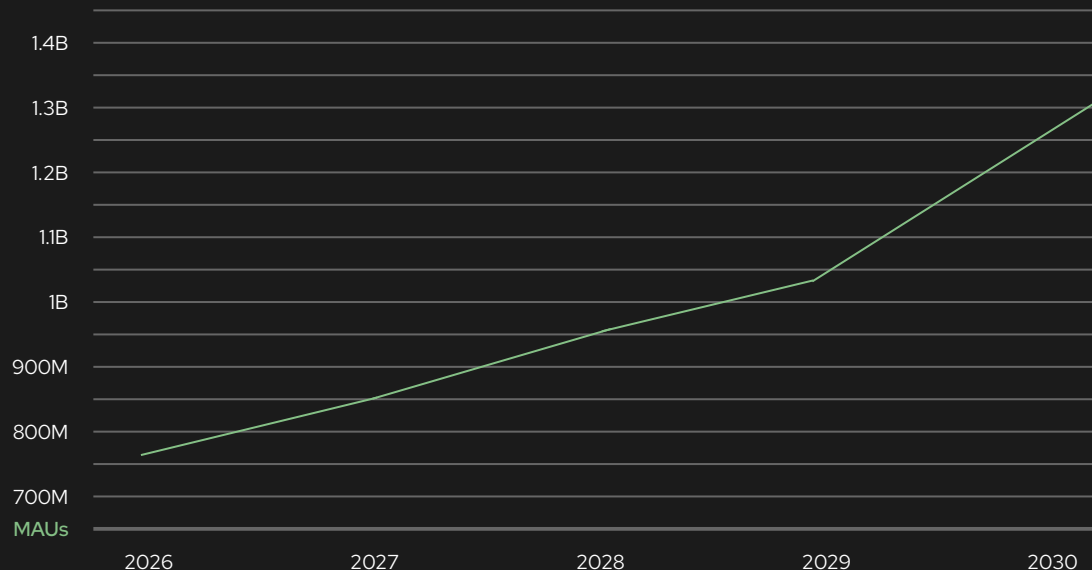
Success Metrics

- **Free-to-Premium conversion rate** as the primary KPI to measure subscription growth.
- Track **Premium Preview** conversion rate to evaluate preview effectiveness.
- Measure **retention and churn** to assess long-term subscriber engagement.
- Monitor ARPU (Average Revenue Per User) and **gross margin to evaluate business impact.**

Experimentation & Rollout

- Conduct an **A/B test** comparing current Premium ads vs. AI-powered Premium Previews.
- Measure **conversion, engagement, retention, and churn** to validate performance.
- **Phase 1:** Roll out to the top 5% of engaged **Free users**.
- **Phase 2:** Expand to high-value segments (e.g., students, frequent listeners).
- **Phase 3:** Launch globally after consistently meeting success metrics.

Projected - Monthly Active Users (MAUs) 10%



Long-Term Growth Goal:

If Spotify maintains its historical growth trajectory, the platform could surpass **1 billion Monthly Active Users (MAUs) before 2030**, while Premium subscribers could grow from **293M (2026) to ~429M by 2030** with sustained 10% annual growth.

Source: Spotify 2025 Form 20-F; Spotify Q1 2026 Form 6-K. Projection assumes historical growth rates continue.

Potential Downsides & Mitigation Strategies

Privacy concerns:

Users may be uncomfortable with AI analyzing listening behavior and preferences.

- Provide **AI transparency**, explain how recommendations are generated, and offer **personalization controls** or **opt-out options**.

User annoyance from AI prompts:

Frequent Premium upgrade suggestions may feel intrusive or manipulative.

- Trigger Premium Previews only during **high-value friction** moments (e.g., ads interrupting a workout or study session) instead of constant promotions.

Higher AI infrastructure costs:

Running AI models at scale could impact profitability.

- Limit AI processing to **high-engagement Free users** most likely to convert rather than applying it to all users.

AI recommendation errors:

Incorrect predictions may deliver Premium previews at irrelevant times.

- Start with a **small pilot group**, collect feedback, and continuously improve model accuracy before expanding.

Users relying on free previews:

Excessive previews could reduce the motivation to subscribe.

- Use **limited Premium Preview** access with clear feature restrictions, allowing users to experience value without replacing the need for Premium.

Appendix

Appendix A

Cost Category	Basis	Estimated Cost
ML Engineers (5 × 6 months)	Levels.fyi / BLS	\$900,000
Product Manager	Levels.fyi	\$180,000
UX Designers	BLS	\$120,000
Cloud Infrastructure	AWS Pricing Calculator	\$600,000
Marketing Rollout	Company Estimate	\$1,000,000
QA & Testing	BLS	\$200,000
Estimated Total		≈ \$3–4M

Appendix B

Assuming math:

11.7M converted users × \$10 average monthly subscription revenue × 12 months = ~\$1.4B annual revenue

At ~35% gross margin: $\$1.4\text{B} \times 35\% = \sim\490M gross profit



REFERENCES

Problem Diagnosis - 01

- VCC 2026_Case Packet.
- Medium. Why I Canceled My Spotify Premium Subscription.
<https://medium.com/the-bridge/why-i-canceled-my-spotify-premium-subscription-5928025d6cf8>
- Spotify Newsroom. Spotify Q1 2026 Earnings.
<https://newsroom.spotify.com/2026-04-28/spotify-q1-2026-earnings/>
- SQ Magazine. Spotify Statistics. <https://sqmagazine.co.uk/spotify-statistics/>
- Spotify Newsroom. Investor Day Recap (2026). <https://newsroom.spotify.com/2026-05-21/investor-day-recap/>

Segmentation - 02

- Music Business Worldwide. Spotify Scraps Shuffle Restriction for Users of Free Tier.
<https://www.musicbusinessworldwide.com/spotify-scraps-shuffle-restriction-for-users-of-free-tier/>
- Spotify Newsroom. Spotify Official News and Updates. <https://newsroom.spotify.com/>
- SQ Magazine. Spotify Statistics. <https://sqmagazine.co.uk/spotify-statistics/>
- Spotify Advertising. Advertising to Gen Z (2026).
<https://ads.spotify.com/en-US/news-and-insights/advertising-to-gen-z-2026/>
- Music Ally. Spotify Releases Latest Gen Z Trend Report.
<https://musically.com/2026/06/12/spotify-releases-latest-gen-z-trend-report/>



REFERENCES

Proposed Solution - 03

AI-Powered Premium Conversion

- GeeksforGeeks. What Is Retrieval-Augmented Generation (RAG)?
<https://www.geeksforgeeks.org/nlp/what-is-retrieval-augmented-generation-rag/>

High-Level Implementation Estimate

- Amazon Web Services. AWS Pricing Calculator. <https://calculator.aws/>
- Microsoft. Azure Pricing Calculator. <https://azure.microsoft.com/en-us/pricing/calculator/>
- Levels.fyi. Spotify Salaries. <https://www.levels.fyi/companies/spotify/salaries>
- U.S. Bureau of Labor Statistics. Occupational Outlook Handbook. <https://www.bls.gov/ooh/>

Business Evidence. Form 6-k & Form 20-F

- Spotify Technology S.A. Annual Report (Form 20-F), 2025.
<https://d18rnOp25nwr6d.cloudfront.net/CIK-0001639920/f4bc1f07-b4f8-4004-941e-e7ac8fd74d86.pdf>
- Spotify Technology S.A. Q1 2026 Financial Results (Form 6-K).
<https://d18rnOp25nwr6d.cloudfront.net/CIK-0001639920/884a6e42-2d74-4ab1-9ad9-77de7476461c.pdf>



REFERENCES

Business Impact - 04

- SQ Magazine. Spotify Statistics. <https://sqmagazine.co.uk/spotify-statistics/>
- Spotify Newsroom. Spotify Q1 2026 Earnings.
<https://newsroom.spotify.com/2026-04-28/spotify-q1-2026-earnings/>
- Spotify Investor Day 2026. Investor Day Webcast & Presentation Materials.
<https://newsroom.spotify.com/2026-05-21/investor-day-recap/>

Measurement Plan - 05

- Spotify Technology S.A. Annual Report (Form 20-F), 2025.
<https://d18rn0p25nwr6d.cloudfront.net/CIK-0001639920/f4bc1f07-b4f8-4004-941e-e7ac8fd74d86.pdf>

Risks & Trade-Offs - 06

- Stanford Human-Centered Artificial Intelligence. Privacy in an AI Era: How Do We Protect Our Personal Information?
<https://hai.stanford.edu/news/privacy-ai-era-how-do-we-protect-our-personal-information>

This presentation was
created by the team:
Spotify Expedition

Thank you

